IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA)- 23(ND)/2023

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 85(ND)/2021

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w Rule 3 and 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION (ABSORPTION)

BETWEEN

ART CAPITAL (INDIA) PRIVATE LIMITED

……. Transferor Company No.1/Non-Applicant

AND

ART BUSINESS & CONSUMER FINANCE (INDIA) PRIVATE LIMITED

…… Transferor Company No.2 /Applicant No. 1

AND

ART CORPORATE FINANCE (INDIA) PRIVATE LIMITED

….. Transferor Company No.3/Applicant No.2

WITH

YES CAPITAL (INDIA) PRIVATE LIMITED

…..Transferee Company/Non-Applicant

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 06.05.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant: Mr. Hemant Sethi, Mr. Gaurav H. Sethi, Mr. Rahul Pawar, Mr. Rahul Kapoor Advs.

For the OL : Mr. Kartikeya Asthana, Adv.

For the RD: Mr. Sumit Kansal, Mr. Aryan Gupta Advs.

ORDER

PER: DR. SANJEEV RANJAN, MEMBER (TECHNICAL)

1. The present Second Motion Petition has been filed jointly by the Transferor Companies under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) to obtain the Sanction and approval of this Adjudicating Authority to the proposed Scheme of Amalgamation (Absorption) between ART Business & Consumer Finance (India) Private Limited/Transferor Company No. 2/Applicant Company No.1 and ART Corporate Finance (India) Private Limited/Transferor Company No. 3/Applicant Company No.2 and their respective shareholders.

2. The Applicant Company No. 1 namely ART Business and Consumer Finance (India) Private Limited bearing CIN: U67190DL2016PTC292567 was originally incorporated on 14.03.2016 as RAAS Consumer & Business Finance (India) Private Limited and in consequence thereof certificate of incorporation was issued by the Registrar of Companies, Delhi on 14.03.2016. The name of the Applicant Company No.1 was changed to its present name and fresh certificate of incorporation consequent on change of name was issued on 17.05.2017. The registered office of Applicant Company No. 1 is situated at 107, Best Sky Tower, Netaji Subhash Place, Pitampura, New Delhi-110034. The Authorized Share Capital of the Company is Rs. 438,60,00,000/- (Rs. Four Hundred Thirty-Eight Crores and Sixty Lakhs Only) divided into 43,86,00,000 Equity Shares of Rs. 10/- each.

The Issued, Subscribed and Paid-Up Share Capital of the Company is 437,97,37,300/- (Rupees Four Hundred Thirty-Seven Crores Ninety-Seven Lakhs Thirty-Seven Thousand and Three Hundred Only) divided into 43,79,73,730 Equity Shares of Rs. 10/- each.

3. The Applicant Company No. 2 namely ART Corporate Finance (India) Private Limited bearing CIN: U67100DL2016PTC299454 was originally incorporated on 11.05.2016 as RAAS Corporate Finance (India) Private Limited and in consequence thereof certificate of incorporation was issued by the Registrar of Companies. The name of the Transferor Company 3 was changed to its present name and in consequence thereof fresh certificate of incorporation was issued by the Registrar of Companies, Delhi on 31.01.2017. The registered office of Applicant Company No. 2 is situated at 107, Best Sky Tower Netaji Subhash Place, Pitampura, New Delhi-110034.

   The Authorized Share Capital of the Company is Rs. 166,29,00,000/- (Rupees One Hundred Sixty-Six Crores and Twenty-Nine Lakhs Only) divided into 16,62,90,000 Equity Shares of Rs. 10/-.

   The Issued, Subscribed and Paid-Up Share Capital of the Company is Rs. 166,29,00,000/- (Rupees One Hundred Sixty-Six Crores and Twenty-Nine Lakhs Only) divided into 16,62,90,000 Equity Shares of Rs. 10/- each, fully paid up.

4. The Registered Office of the Applicant Companies No.1 and 2 are situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

5. The Transferor Company No.1 namely ART Capital (India) Private Limited was originally incorporated on 19.07.2010 as RAAS Capital (India) Private Limited and in consequence thereof certificate of incorporation was issued by the Registrar of Companies. The name of the Transferor Company No.1 was changed to ART Capital (India) Private Limited and in consequence thereof fresh certificate of incorporation consequent on change of name was issued by the Registrar of Companies on 25.01.2017. The Registered office of the Transferor Company No.1 is situated at 307- 308, Midas, Sahar Plaza, Andheri (East), Mumbai-400069. Maharashtra.

The Authorized Share Capital of the Company is 11,00,00,00,000/- (Rupees Eleven Hundred Crores only) divided into 1,10,00,00,000 Equity Shares of Rs. 10/- each.

The Issued, Subscribed and Paid-up Capital of the Company is Rs. 7,16,00,00,000/- (Rupees Seven Hundred and Sixteen Crores only) divided into 71,60,00,000/-Equity Shares of Rs. 10/- each.

6. The Transferee Company namely Yes Capital (India) Private Limited was originally incorporated on 08.05.2003 as DOIT Capital (India) Private Limited and in consequence thereof certificate of incorporation was issued by the Registrar of Companies. Mumbai. The name of the Transferee Company was changed to its present name and fresh certificate of incorporation consequent on change of name was issued by the Registrar of Companies, Mumbai on 02.01.2012.

   The Authorized Share Capital of the Company is Rs. 2,50,00,000/-(Rupees Two Crores and Fifty lakhs Only) divided into 25,00,000 Equity Shares of Rs. 10/- each.

   The Issued, Subscribed and Paid-up Capital of the Company is Rs. 2,38,03,810/- (Rupees Two Crores Thirty-Eight Lakhs Three Thousand Eight Hundred and Ten Only) divided into 23,80,381 Equity Shares of Rs. 10/- each.

7. The Registered Office of Transferor Company No.1 and Transferee Company is within the territorial jurisdiction of Mumbai Bench of this Tribunal and are Non-Applicant Companies before this Bench. Hence, proper application with respect to Non-Applicant Companies was filed before the Mumbai Bench and was approved vide Order dated 02.08.2024.

8. It is stated that the Applicant Companies No.1 and 2 have jointly moved the necessary second motion Petition being **CP(CAA)–23(ND)/2023** on 10.11.2022, connected with the first motion Application being **CA(CAA)–85(ND)/2021**, before the National Company Law Tribunal, New Delhi.

9. The Board of Directors of the Transferor Companies and the Transferee Company by their respective Board Meeting dated 16.09.2020 approved the proposed draft Scheme of Amalgamation.

10. The Applicant Companies have filed its Memorandum and Articles of Association inter alia delineating their object clauses as well as the certified true copy of the latest audited annual accounts of the Company for the financial year ended on 31st March 2022 as required under section 232(2)(e) of the Companies Act, 2013.

11. The Applicant Companies have filed the true copy of the proposed Scheme of Arrangement and have outlined the benefit of the same, which are as follows:

i. *"With a view to maintain a simple corporate structure and eliminate duplicate corporate procedures it is desirable to amalgamate the Transferor Companies with the Transferee Company.*

ii. *The merger shall facilitate consolidation of the Transferor Companies with the Transferee Company, in order to enable effective management.*

iii. *The amalgamation will result in reduction in the multiplicity of legal and regulatory compliances and would create economies in administrative costs.*

iv. *This Scheme does not affect the rights and interests of the shareholders or the creditors of the Transferor Company and the Transferee Company. The shareholding and the rights of the members remain unaffected as no new shares are proposed to be issued by the Transferee Company and there is no change in the capital structure;*

v. *This Scheme is presented under Sections 230 to 232 and other applicable provisions of Companies Act, 2013, if any, for amalgamation of the Transferor Companies with the Transferee Company; and*

vi. *The proposed Scheme will contribute in furthering and fulfilling the objects of the Company concerned and enabling the optimum growth and development of their combined business. Moreover, the present Scheme will also fulfill the directions of the RBI issued to the Transferee Company during its inspection order dated 09.07.2019 and 24.04.2020."*

12. The material provisions of the proposed Scheme are as under:

"Part II - Amalgamation of Transferor Companies with Transferee Company

Section 1 - Transfer and vesting

4. Transfer and vesting of Business of the Transferor Companies

1. Upon coming into effect of this Scheme and with effect from the Appointed Date, pursuant to the sanction of this Scheme by the Jurisdictional Tribunal and pursuant to the provisions of Sections 230 to 232 and other applicable provisions, if any, of the Act, the entire business of the Transferor Companies including all its properties and assets (whether movable or immovable, tangible .or intangible assets land and building, leasehold assets and other properties, real, in possession or reversion, present and contingent assets (whether tangible or intangible) of whatsoever nature, all receivables, advances, deposits, etc., including, without limitation all the movables and immovable properties and assets of the Transferor Companies comprising amongst other business licenses, permits, authorizations, if any, right and benefits of all agreements and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits and approvals, advance and other taxes paid to the authorities, lease , tenancy rights, statutory permissions, consents and registrations or approvals received from any authorities, all rights and /or titles and /or interest in properties by virtue of any order, all records files, papers, contracts, shall be transferred and /or deemed to be transferred to and stand vested in the Transferee Company, as a going concern without any further act, instrument, deed, matter or thing so as to become, as and from the Appointed Date, the business of the Transferee Company by virtue of and in the manner provided in this Scheme.

2. Vesting of Assets

a. *Without prejudice to the generality of Clause 4.1 above, upon the coming into effect of this Scheme and with effect from the Appointed Date, all the estate, assets, properties, rights, claims, title, interest and authorities including accretions and appurtenances comprised in the Transferor Companies, of whatsoever nature and where so ever situate shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of Applicable Law, if any, without any further act or deed, be and stand transferred to and vested in the Transferee Company and/or be deemed to be transferred to and vested in the Transferee Company as a going concern so as to become, as and from the Appointed Date, the estate, assets, properties, rights, claims, title, interest and authorities of the Transferee Company.*

b. *Without prejudice to the provisions of Clause 4.2(a) above, in respect of such of the assets and properties of the Transferor Companies as are movable in nature or incorporeal property or are otherwise capable of vesting or transfer by delivery or possession, or by endorsement and/or delivery, the same shall stand so transferred or vested by the Transferor Companies upon the coming into effect of this Scheme, and shall, become the assets and property of the Transferee Company with effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act, without requiring any deed or instrument of conveyance for transfer or vesting of the same.*

c. *In respect of such of the assets and properties belonging to the Transferor Companies (other than those referred to in Clause (b) above) including sundry debtors, receivables, bills, credits, loans and advances, if any, whether recoverable in cash or in kind or for value to be received, bank balances, investments, earnest money and deposits with any government, quasi government, local or other authority or body or with any company or other person, the same shall stand transferred to and vested in the Transferee Company*

and/or be deemed to have been transferred to and vested in the Transferee Company, without any further act, instrument or deed, cost or charge and without any notice or other intimation to any third party, upon the coming into effect of this Scheme and with effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act.

d. *All assets, rights, title, interest, investments and properties of the Transferor Companies as on the Appointed Date, whether or not included in the books of the Transferor Companies, and all assets, rights, title, interest, investments and properties, which are acquired by the Transferor Companies on or after the Appointed Date but prior to the Effective Date, shall be deemed to be and shall become the assets, rights, title, interest, investments and properties of the Transferee Company, and shall under the provisions of Sections 230 to 234 and all other applicable provisions, if any, of the Act, without any further act, instrument or deed, be and stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company upon the coming into effect of this Scheme and with effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act.*

e. *All the profits or income taxes, GST, any other taxes, or any costs, charges, expenditure accruing to the Transferor Companies or expenditure or losses arising or incurred or suffered by the Transferor Companies shall for all purpose be treated and be deemed to be and accrue as the profits, taxes (namely Advance tax and Tax deducted at source), tax losses, MAT Credit, income costs, charges, expenditure or losses of Transferee Company, as the case may be.*

f. *All the licenses, permits, registrations, quotas, entitlements, approvals, permissions, registrations, incentives, tax deferrals, exemptions and benefits, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges enjoyed or conferred upon or held or availed*

of by the Transferor Companies and all rights and benefits that have accrued or which may accrue to the Transferor Company, whether on, before or after the Appointed Date, including income tax benefits and exemptions, shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions, if any, without any further act, instrument or deed, cost or charge be and stand transferred to and vest in and/or be deemed to be transferred to and vested in and be available to the Transferee Company so as to become the licenses, permits, registrations, quotas, entitlements, approvals, permissions, registrations, incentives, tax deferrals, exemptions and benefits, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status and other benefits or privileges of the Transferee Company and shall remain valid, effective and enforceable on the same terms and conditions.

g. *In so far as the various incentives, entertainment tax exemption and benefits, service tax benefits, subsidies, grants, special status and other benefits or privileges enjoyed, granted by any Appropriate Authority, or availed of by Transferor Companies are concerned, the same shall, without any further act or deed, vest with and be available to Transferee Company on the same terms and conditions on and from the Effective Date.*

1. Contracts, Deeds etc.

a. *Upon the coming into effect of this Scheme, and subject to the provisions of this Scheme, all contracts, deeds, bonds, agreements, schemes, arrangements, insurance, letters of Intent, undertaking, policies and other instruments of whatsoever nature, to which the Transferor Company is a party or to the benefit of which Transferor Companies may be eligible, and which are subsisting or have effect immediately before the Effective Date, shall continue in full force and effect on or against or in favour of, as the case may be, the Transferee Company and may be enforced as fully and effectually as if, instead of the Transferor Companies concerned, the*

Transferee Company had been a party or beneficiary or oblige thereto or thereunder.

b. *Without prejudice to the other provisions of this Scheme and notwithstanding that vesting of the assets occur by virtue of this Scheme itself, the Transferee Company may, at any time after the coming into effect of this Scheme, in accordance with the provisions hereof, if so required under any law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations or other writings or arrangements with any party to any contract or arrangement to which the Transferor Companies are a party or any writings as may be necessary in order to give formal effect to the provisions of this Scheme. The Transferee Company shall, after the Effective Date, under the provisions of this Scheme, be deemed to be authorised to execute any such writings on behalf of the Transferor Companies and to carry out or perform all such formalities or compliances referred to above on the part of the Transferor Companies to be carried out or performed.*

c. *Without prejudice to the generality of the foregoing, upon the coming into effect of this Scheme and with effect from the Appointed Date, all consents, permissions, licenses, certificates, clearances, authorities, powers of attorney given by, issued to or executed in favour of the Transferor Companies shall stand transferred to the Transferee Company as if the same were originally given by, issued to or executed in favour of the Transferee Company, and the Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.*

2. Transfer and Vesting of Liabilities

a. *Upon the coming into effect of this Scheme and with effect from the Appointed Date all debts and liabilities of the Transferor Companies including all secured and unsecured debts (in whatsoever currency), if any liabilities (including contingent liabilities), duties and obligations of the Transferor Companies of every kind, nature*

and description whatsoever whether present or future, and howsoever arising, along with any charge, encumbrance, lien or security thereon (herein referred to as the "Liabilities") shall, pursuant to the sanction of this Scheme by the Tribunal and under the provisions of Sections 230 to 232 of the Act and other applicable provisions, if any, of the Act, without any MAT further act, instrument, deed, matter or thing, be and stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company, to the extent they are outstanding on the Effective Date so as to become as and from the Appointed Date the Liabilities of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company, and the Transferee Company shall meet, discharge and satisfy the same and further it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such Liabilities have arisen in order to give effect to this Scheme.

b. *Where any such debts, liabilities, duties and obligations of the Transferor Companies as on the Appointed Date have been discharged by such Transferor Companies on or after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to be for and on account of the Transferee Company upon the coming into effect of this Scheme.*

c. *All liabilities, duties and obligations incurred or undertaken by the Transferor Companies on or after the Appointed Date and prior to the Effective Date shall be deemed to have been raised, used, incurred or undertaken for and on behalf of the Transferee Company and to the extent they are outstanding on the Effective Date, shall, upon the coming into effect of this Scheme and under the provisions of Sections 230 to 232 of the Act, without any further act, instrument or deed be stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company and shall become the loans and liabilities, duties and*

obligations of the Transferee Company which shall meet, discharge and satisfy the same.

d. *Loans, advances and other obligations, if any (including any guarantees, letters of credit, letters of comfort or any other instrument or arrangement which may give rise to a contingent liability in whatever form), if any, due or which may at any time from the Appointed Date to the Effective Date become due between the Transferor Companies and the Transferee Company shall, ipso facto, stand discharged and come to an end and there shall be no liability in that behalf on any party and the appropriate effect shall be given in the books of accounts and records of the Transferee Company.*

3. Employees of Transferor Companies

a. *Upon the coming into effect of this Scheme, all Employees of the Transferor Companies, if any shall become the employees of the Transferee Company, on same terms and conditions and shall not be less favorable than those on which they are engaged by the Transferor Companies and without any interruption of or break in service as a result of the amalgamation of the Transferor Companies with the Transferee Company. For the purpose of payment of any compensation, gratuity and other terminal benefits, the past services of such Employees with the Transferor Companies and such benefits to which the Employees are entitled in the Transferor Company shall also be taken into account and paid (as and when payable) by the Transferee Company.*

b. *The Board of Directors of each the Transferor Companies and the Transferee Company shall take such actions and execute such further documents as may be necessary or desirable for the purpose of giving effect to the permissions of this Clause.*

8. Legal, Taxation and other Proceedings

a. *Upon the coming into effect of this Scheme, all suits, actions, and other proceedings including legal and taxation proceedings, (including before any •statutory or quasi-judicial authority or*

tribunal) by or against the Transferor Companies pending on the Effective Date shall be continued and/ or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been instituted by or against the Transferee Company.

b. *If any suit, appeal or other proceeding of whatever nature by or against the Transferor Companies is pending, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of or by anything contained in this Scheme, but the said suit, appeal or other legal proceedings may be continued, prosecuted and enforced by or against Transferee Company, as the case may be, in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Companies as if this Scheme had not been made.*

c. *In case of any litigation, suits, recovery proceedings which are to be initiated or may be initiated against the Transferor Companies, Transferee Company shall be made party thereto and any payment and expenses made thereto shall be the liability of Transferee Company.*

d. *Without prejudice to other clauses within this Scheme, with effect from the Appointed Date, all inter-party transactions between the Transferor Companies and the Transferee Company shall be considered as intra-party transactions for all purposes from the Appointed Date.*

Section 2 - Conduct of Business

9. Conduct of Business till effective date.

1. *From the date on which the Boards of Directors of the Transferor Companies and the Transferee Company approve this Scheme until the Effective Date:*

a. *the Transferor Companies shall carry on and be deemed to have carried on all business and activities and shall hold and stand possessed of and shall be deemed to hold, and stand possessed of all its estates, assets, rights, title, interest, authorities, contracts*

and investments for and on account of, and in trust for, the Transferee Company;

b. *The Transferor Companies shall carry on their business and activities with due business prudence and diligence and shall not, without prior written consent of the Transferee Company or pursuant to any preexisting obligation, sell transfer or otherwise alienate, charge, mortgage, encumber or otherwise deal with any part of its assets nor incur or accept or acknowledge any debt, obligation or liability except as is necessary in the ordinary course of business.*

c. *all profits and income accruing or arising to the Transferor Companies, and losses and expenditure arising or incurred by them (including taxes, if any, accruing or paid in relation to any profits or income) for the period commencing from the Appointed Date shall, for all purposes, be treated as and be deemed to be the profits, income, losses or expenditure (including taxes), as the case may be, of the Transferee Company.*

d. *any of the rights, powers, authorities or privileges exercised by the Transferor Companies shall be deemed to have been exercised by the Transferor Companies for and on behalf of, and in trust for and as an agent of the Transferee Company. Similarly, any of the obligations, duties and commitments that have been undertaken or discharged by the Transferor Companies shall be deemed to have been undertaken for and on behalf of and as an agent for the Transferee Company; and*

e. *all taxes (including, without limitation, income tax, GST or any other taxes) paid or payable by the Transferor Company in respect of the operations and/or the profits of the Transferor Companies before the Appointed Date, shall be on account of the Transferor Companies and, insofar as it relates to the tax payment (including, without limitation, income tax or any other taxes), whether by way of deduction at source, advance tax or otherwise howsoever, by the Transferor Company in respect of the profits or activities or*

operation of the Transferor Companies with effect from the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company, and, shall, in all proceedings, be dealt with accordingly.

10. Cancellation of share capital of Transferor Companies

1. The Transferor Company 1 is wholly owned subsidiary of the Transferee Company, Transferor Company 2 and Transferor Company 3 are step down subsidiaries of the Transferee Company. Upon this Scheme becoming effective, Transferee Company would not be required to issue and allot any shares to the shareholders of the Transferor Companies and the stated capital/ issued and paid-up capital of the Transferor Companies shall stand cancelled on the Effective Date.

13. This Tribunal vide order dated 11.02.2022 has dispensed with the requirement of convening the meetings of the shareholders, secured and unsecured creditors of the Applicant Companies.

14. The Second Motion Petition was moved by the Applicant Companies in connection with the Scheme of Arrangement for issuance of notices. This Tribunal vide order dated 03.03.2023 directed to issue notice to all the Statutory Authorities, namely, Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, National Capital Territory of Delhi and Haryana, Official Liquidator, CIC of the Reserve Bank of India and other Sectorial Regulators.

15. In compliance of the above-stated directions, the Applicants duly filed an Affidavit of Service dated 17.04.2023 by confirming that the aforesaid Notices of the present Company Petition were published on 29.03.2023 in Financial Express (English Edition) and in Jansatta (Hindi Edition) on 29.03.2023. It is further submitted that the Applicant Companies also served the Notices of the present Company Petition to all the statutory authorities via hand delivery on 28.03.2023 as per the direction given by this Tribunal.

16. Pursuant to the notice issued to the Regional Director, Official Liquidator the Regional Director and the Official Liquidator have filed their response /reply in the matter.

17. The Regional Director along with the Registrar of Companies vide it's report affidavit dated 24.02.2024 has made certain observations with regard to the proposed scheme of Amalgamation among the Applicant Companies and in response to the same, the Applicant Companies had filed their reply dated 19.11.2024, wherein the Applicant Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are given below:

S. No.	Observation of the RD in its Report Affidavit dated 24.02.2024	Reply dated 19.11.2024 of the Applicant Companies
1.	As per petition the appointed Date is 01.04.2020, whereas General Circular No. 09/2019 dated 21.08.2019 issued by Ministry of Corporate Affairs states that when the 'appointed date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brough out in the scheme and it should not be against public interest.	The Transferor Company no.2 submits that the Appointed Date is 01.04.2020. The Transferor Company has passed Resolution in the meeting of the Board of Directors held on 22.01.2024 where the Appointed date was shifted from 01.04.2020 to 01.04.2023, followed by the directions received by (Transferor company-1) and (Transferee company) from the office of Regional Director, Mumbai through a Report filed by them on 28.04.2023. There is no impact in change of appointed date as there is no issue and allotment of shares as the Transferor Companies are directly/ indirectly subsidiaries of Transferee Company shares held by the Transferee Company will be cancelled.
2.	In the financial statements for the year ended 2020-21 of the Transferor Company No. 2, the auditor has given a qualification that: "Refer Note No. 28 of financial statements, where the company has not accounted for Interest Income in view of the wavier allowed to a group concern to this effect, having consequential impact on the Loss and assets to the extent of Rs.6,563.6 Thousands".	Regarding non-accounting of Interest Income in view of the waiver allowed to the group Companies to this effect, having consequential impact on the impact on the loss and assets to the extent of Rs. 6,563.60 thousand, the Transferor Company no.2 States that the Applicant Company during the Covid-19 pandemic had granted the interest waiver in the best interest, which was duly approved by the Board of Directors and the reasons thereof have been recorded in the Directors Report.

3.	In the Auditor's Report for ended 31.03.2021 of Transferor Company no. 2, auditor has stated their based on the overall operations of the company during the year, we are of the opinion that the company is required to be registered under section 45-IA of the Reserve Bank of India, 1934, subject to other criteria being fulfilled.	Regarding registration under section 45-IA of the Reserve Bank of India Act, 1934, the Transferor Company no.2 submits that the Transferor Company is a Core Investment Company (CIC) not requiring registration with RBI as having assets size less than 100 Crore and do not have any public fund, as per Chapter III, the para 6 of RBI Master Direction.
4.	In the financial statements of the Transferor Company no. 2, the Statutory auditor has made emphasis of matter as under: (i) On 7th march 2020, a First information Report (FIR) was registered by the Central Bureau of Investigation (CBI) against one of the group companies. On the basis of the aforesaid FIR, the Enforcement Directorate (ED) has also filed in Enforcement Case Information Report (ECIR) dated 7th March 2020 and was carrying out investigations in this regard. Further, subsequent to the year under review, provisional attachment order (PAOs) were issued by the ED, attaching the bank accounts of the company having a balance of Rs.378 thousands as on 5th May 2020. The management has filed an application contesting the above orders with the Adjudicating Authority of the ED, New Delhi. Pending the uncertainty over the outcome of the FIR, currently the management of the Group does not foresee a situation that may result in any impact on the standalone Ind As financial statements of the Company. (ii) Attention is drawn to Note No. 19 of the Financial statements regarding management's current assessment of the company's assets and liabilities. The company has carried out a detailed study to assess the impact of COVID19, including the second wave, on its liquidity position and on the	With respect to (i), regarding the ED's ECIR and PAO, the Transferor Company no.2 submits that none of the Transferor Companies (Transferor 1, 2 and 3) are named in the CBI chargesheet or ED ECIR. Transferor Company no.2 and 3 have also served notice to the office of Enforcement Directorate on April 05, 2024. As stated in the additional notice dated 04th April, 2024 and filed with Tribunal on April 05, 2024. It is further pertinent to mention that the Counsel for the ED appeared before the NCLT, Mumbai Bench and filed 2 affidavits giving their No Objection to the proposed Scheme. With respect to (ii), regarding the monitoring Covid 19 impact on the business, the Transferor Company no.2 submits that it had continued monitoring impact of Covid 19 from the year 2020 and will continue monitoring its impact on the operations of the Company. With respect to (iii), regarding the online audit of the company for financial year 2020-21, the Transferor Company no.2 submits that due to the second wave of Covid 19 pandemic, the audit was conducted online and all the necessary data *I* details *I* documents as required to be carried out for the audit was provided online to the Auditor. The Transferor Company no.2 also submits that from the financial year 2021-22 onwards, the

	recoverability and carrying values of its assets and has concluded that there is no significant impact on account of the same on its financial statements as at 31.03.2021. The impact assessment of Covid 19 is a continuous process, given the uncertainties associated with its nature and duration. The management will continue to monitor material changes to the future economic conditions which may have an impact on the operations of the company. (iii)In view of the initial lockdown and ongoing lockdown the audit for the year was carried out online based on remote access of data, as provided by the management, instead of standard conventional Audit. This resulted in need for carrying out alternative audit procedures as per the Standards on Auditing prescribed by the Institute of Chartered Accountants of India (ICAI). The Audit has been carried out based on the advisory on "Specific Considerations while conducting Distance Audit/ Remote Audit/ Online Audit under current Covid-19 situation" issued by the Auditing and Assurance Standards Board of ICAI. We have been represented by the management that the data provided for our audit purposes is correct, complete, reliable, and are directly generated by the accounting system of the company without any further manual modifications. Audit of the financial management that the data provided for our audit purposes is correct, complete, reliable and are directly generated by the accounting system of the Firm without any further manual modifications. We bring to the attention of the users that the audit of the financial statements has been performed in the aforesaid conditions.	physical audit (conventional audit) has been carried out for the company. This is done in line of ICAI guidelines by the auditor.

5.	In the financial statements for the year ended 2020-21 of the Transferor Company no. 3, the auditor has given a qualification that: "Refer Note No. 30 of financial statements, where the company has not accounted for Interest Income in view of the wavier allowed to the group Companies to this effect, having consequential impact on the loss and assets to the extent of Rs.707.60 thousands".	Regarding non-accounting of Interest Income in view of the waiver allowed to the group Companies to this effect, having consequential impact on the impact on the loss and assets to the extent of Rs. 707.60 thousand, the Transferor Company no.3 states that the Applicant Company during the Covid-19 pandemic had granted the interest waiver in the best interest, which was duly approved by the Board of Directors and the reasons thereof have been recorded in the Directors Report.
6.	In the auditor's report for year ended 31.03.2021 of Transferor company no.3, auditor has stated that Based on the overall operations of the company during the year, we are of the opinion that the company is required to be registered under section 45-IA of the Reserve Bank of India, 1934, subject to other criteria being fulfilled.	Regarding registration under section 45-IA of the Reserve Bank of India Act, 1934, the Transferor Company no.3 submits that the Investment Company (CIC) not requiring registration with RBI as having assets size less than 100 cr and do not have any public fund, as per Chapter III the para 6 of RBI Master Direction.
7.	In the financial statement of the Transferor Company no. 3, the statutory auditor has made emphasis of matter as under: - (i) On 7th march 2020, a First Information Report (FIR) was registered by Central Bureau of Investigation (CBI) against one of the group companies. One the basis of the aforesaid FIR the Enforcement Directorate (ED) has also filed an Enforcement Case Information Report (ECIR) dated 7th March 2020 and was carrying out investigations in this regard. Further, subsequent to the year under the review, provisional attachment order (PAOs) was issued by the ED, attaching the bank accounts of the company having a balance of Rs.105 thousands as on 5th May 2020. The management of the Group does not foresee a situation that may result in any impact on the standalone Ind AS financial statements of the Company.	With respect to (i), regarding the ED's ECIR and PAO, the Transferor Company no.3 submits that none of the Transferor Companies (Transferor 1, 2 and 3) are named in the CBI chargesheet or ED ECIR. Transferor Company no.2 and 3 have also served notice to the office of Enforcement Directorate on April 05, 2024. With respect to (ii), regarding the monitoring Covid 19 impact on the business, the Transferor Company no.3 submits that it had continued monitoring impact of Covid 19 from the year 2020 and will continue monitoring its impact on the operations of the Company. With respect to (iii), regarding the online audit of the company for financial year 2020-21, the Transferor Company no.3 submits that due to the second wave of Covid 19 pandemic, the audit was conducted online and all the necessary data/details/documents

	(ii) Attention is drawn to Note No. 23 of the financial statements regarding management's current assessment of the Company's assets and liabilities. The company has carried out a detailed study to assess the impact of Covid 19, including the second wave, on its liquidity position and on the recoverability and carrying values of its assets and has concluded that there is no significant impact on account of the same on its financial statements as at 31.03.2021. The impact assessment of Covid 19 is a continuous process, given the under certainties associated with its nature and duration. The management will continue to monitor material changes to the future economic conditions which may have an impact on the operations of the company. (iii)In view of the initial lockdown and ongoing lockdown the audit for the year was carried out online based on remote access of data, as provided by the management, instead of standard conventional Audit. This resulting in need for carrying out alternative audit procedures as per the standards on Auditing prescribed by the Institute of Chartered Accountants of India (ICAI). The Audit has been carried out based on the advisory on "specific considerations while conducting Distance Audit/Remote Audit/Online Audit under current Covid 19 situation" issued by the Auditing and Assurance Standards Board of ICAI. We have been represented by the management that the data provided for our audit purpose is correct, complete, reliable, and are directly generated by the accounting system of the company without any further manual modifications. Audit of the financial statements has been performed in the aforesaid conditions.	as required to be carried out for the audit was provided online to the Auditor. The Transferor Company no.3 also submits that from the financial year 2021-22 inwards, the physical audit (conventional audit) has been carried out for the company.

18. The Official Liquidator has filed its report dated 30.01.2025, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that on the basis of information submitted by the Applicant Companies and the Balance Sheet, Memorandum and Article of Association and other documents is of the view that the affairs of the Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013.

19. Despite of service there is no representation on behalf of the Income Tax Department. Therefore, the presumption under Section 230(5) of the Companies Act, 2013 is attracted wherein, it is provided that within a period of 30 days from the date of receipt of notice, if the authority fails to file its report, it shall be presumed that they have no representation to make on the proposal.

20. The Applicant Companies filed an affidavit dated 08.10.2024 affirming that no investigation is pending by either SFIO or CBI against the Non-Applicant Companies, i.e., Transferor Company No.1 and the Transferee Company. Further, neither the Transferor Companies nor the Transferee Company have business relationship with DHFL and its group companies. It is clarified that approval of the scheme will not deter or hamper any pending investigation/legal proceedings against the Transferor Company-I and the Transferee Company by any of the regulatory authorities or any or any proceedings /inquiry/investigation, if any, initiated by any of the regulatory authorities in the future. The Directors of the Transferor Companies and the Transferee Company will undertake to extend full co-operation to the concerned regulatory authorities with the investigation by the SFIO and shall retain all documents/data of the Applicant Companies and furnish the same to the SFIO for the purpose of investigation as and when called upon. Further, on sanctioning of the scheme, any legal proceedings initiated against the Transferor Company will be continued against the Transferee Company.

21. In order to ensure that this scheme of amalgamation does not act as a road-block in the SFIO's investigation, it is directed that the approval of this Scheme by this Tribunal will not in any manner be detrimental to the ongoing

investigation being carried on by ED or any other authority against the Applicant Companies and if any future prosecutions and investigations are to be laid against the Transferor Companies, the Transferee Company is liable without limitation of liability. The Approved scheme will not have any bearing on the investigation pending before the SFIO against the Applicant companies. Any attachment orders against the Transferor Companies will continue against/by the Transferee Company and the approval of the scheme will not dilute any pending legal proceedings.

22. Further, as per clause 8 of the Scheme all legal proceedings of whatsoever nature by or against the Transferor Companies pending on and/or arising after the Appointed Date, as and from the Effective Date shall not abate or be discontinued or be in any way prejudicially affected by reason of the Scheme or by anything contained in this Scheme but shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Companies.

23. The Applicant Companies have placed on record respective certificate from statutory auditors of the Transferor Company and Transferee Company certifying that the accounting treatment provided in the scheme is compliant with the applicable Accounting Standards as specified under Section 133 of the Companies Act, 2013.

24. The Applicant Company submitted that there are no Corporate Guarantee, Performance Guarantee, Bank Guarantee or any other type of Guarantee/ Guarantees given by any of the Applicant Companies. It also confirms that the Applicant Companies have no other type of contingent liabilities. The Applicant Companies do not have any type of Letters of Credit sanctioned and utilized and have not accepted any type of public deposits under the Companies Act, 2013. The Applicant Companies further confirm that the Applicant Companies are not categorized as Non-Banking Financial Company ('NBFC') under Section 45-I of the Reserve Bank of India Act, 1934. The Transferee Company is categorized as Non-Banking Financial Company ('NBFC') CIC (Core Investment Company) -NBFC-CIC-ND-SI under section 45-I of the Reserve Bank of India Act, 1934.

25. The Reserve Bank of India vide Letter dated 09.07.2019, 24.04.2020 and 09.07.2020 directed the Transferee Company to rationalize its existing entities registered with RBI. In response to the said letter, the Transferee Company by their letters dated 11.09.2019, 21.05.2020 and 22.09.2020 informed Reserve Bank of India that in order to streamline the group structure as per the guidelines of RBI by way of scheme, shall eliminate the Transferor Companies and merger, the same with the Transferee Company with Appointed Date as 01.04.2020 which was later shifted to 01.04.2023 vide Board Resolution passed in the Board Meeting dated 22.01.2024.

26. The shareholders of the Applicant Companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions.

27. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

28. It has also been affirmed in the petition that the Scheme is in the interest of all the Applicant Companies including their shareholders, creditors, employees and all concerned.

29. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Applicant Companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

30. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

i. The Applicant Companies shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the Applicant Companies.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

31. This Tribunal further directs with respect to the Transferor Companies and the Transferee Company, that:

i. Upon the sanction becoming effective from the appointed date i.e., 01.04.2023 as provided under the Scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

ii. All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

iii. All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Companies without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

iv. All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

v. All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

vi. Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

32. Further, the Applicant Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Applicant Companies shall be consolidated accordingly.

33. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

34. Accordingly, the present Scheme of Arrangement stands **sanctioned** and **CP(CAA)/23(ND)/2023** stands **disposed of** in the above terms.

35. Let copy of the order be served to the parties.

-Sd-	**-Sd-**
(DR. SANJEEV RANJAN)	**(BACHU VENKAT BALARAM DAS)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**